Global Anti-Money Laundering (AML) & Customer Due Diligence (KYC) Policy

Enterprise Compliance Directive • Ref: POL-KYC-001

ORGANIZATIONAL POLICY MANUAL	**Policy Code:** POL-KYC-001
Document: Global Anti-Money Laundering (AML) & Customer Due Diligence (KYC) Policy	**Version:** 3.2 | **Effective:** 2025-01-15
Category: Anti-Money Laundering	**Business Area:** Operations & Compliance
Compliance Owner: Chief Compliance Officer (CCO)	**Classification:** Confidential - Internal Corporate Use

1. Policy Purpose & Executive Scope

Establishes mandatory protocols for customer onboarding, Customer Identification Program (CIP), Politically Exposed Persons (PEP) screening, Beneficial Ownership verification, and Suspicious Activity Reporting.

2. Binding Regulatory Clauses & Compliance Requirements

Section 2.1: Customer Identification Program (CIP) Verification [POL-KYC-001-C01]

Requirement: MANDATORY | Risk Impact: HIGH | Regulatory Base: FinCEN Customer Due Diligence Rule 31 CFR 1010.230; USA PATRIOT Act Sec. 326

Prior to establishing any business relationship or executing non-custodial transactions, the onboarding team must verify customer identity using at least two independent, unexpired government-issued photographic identification documents and validated residential address proofs dated within the last 90 days.

Section 3.1: Politically Exposed Persons (PEPs) & Sanctions Screening [POL-KYC-001-C02]

Requirement: MANDATORY | Risk Impact: CRITICAL | Regulatory Base: OFAC Sanctions Regulations; FATF Recommendation 12

All new and existing customers must be screened in real-time against current OFAC SDN lists, UN Sanctions, and global PEP databases prior to account activation. Any positive match for a foreign or domestic PEP requires mandatory escalation to the Head of Financial Crime and senior executive sign-off prior to account opening.

Section 4.1: Enhanced Due Diligence (EDD) for High-Risk Accounts [POL-KYC-001-C03]

Requirement: MANDATORY | Risk Impact: HIGH | Regulatory Base: FATF High-Risk Jurisdictions Guidance; FinCEN EDD Guidelines

Enhanced Due Diligence (EDD) is strictly required for entities domiciled in FATF-monitored high-risk jurisdictions, non-bank financial institutions, and accounts with anticipated annual turnover exceeding $5,000,000. EDD must establish verified Source of Wealth (SoW) and Source of Funds (SoF) with certified audited financial statements.

Section 5.2: Beneficial Ownership Transparency (25% Rule) [POL-KYC-001-C04]

Requirement: MANDATORY | Risk Impact: HIGH | Regulatory Base: FinCEN CDD Rule 31 CFR 1010.230(d); Corporate Transparency Act

For all corporate clients, the compliance analyst must identify and independently verify every natural person who directly or indirectly owns or controls 25% or more of the equity interests of the legal entity, or who exercises significant management control. No account may be opened if any ultimate beneficial owner (UBO) remains undisclosed.

Section 6.3: Suspicious Activity Reporting (SAR) & Cash Thresholds [POL-KYC-001-C05]

Requirement: MANDATORY | Risk Impact: CRITICAL | Regulatory Base: Bank Secrecy Act (BSA) 31 U.S.C. 5318(g); FinCEN 31 CFR 1020.320

Any single transaction or aggregated series of transactions exceeding $10,000 in currency must trigger a Currency Transaction Report (CTR) within 15 calendar days. Any transaction exhibiting indicators of structuring, lack of apparent economic rationale, or fund layering must be submitted to the AML Officer for filing a Suspicious Activity Report (SAR) with FinCEN within 30 days.

Section 7.1: Periodic KYC Refresh Cycle [POL-KYC-001-C06]

Requirement: CONDITIONAL | Risk Impact: MEDIUM | Regulatory Base: FinCEN Risk-Based AML Procedures

High-risk customer files must undergo full re-certification annually. Medium-risk customers must be refreshed every two years, and low-risk customers every three years. If an account experiences a material change in ownership, leadership, or business activity, an immediate ad-hoc KYC review must be executed.